



## Best's Credit Rating Effective Date

December 18, 2025

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## Information

[Best's Credit Rating Methodology](#)

[Guide to Best's Credit Ratings](#)

[Market Segment Outlooks](#)

## Financial Data Presented

The financial data in this report reflects the most current data available to the Analytical Team at the time of the rating. Updates to the financial exhibits in this report are available here: [Best's Financial Report](#).

## Continental General Insurance Company

**AMB #:** 007360 | **NAIC #:** 71404 | **FEIN #:** 47-0463747

**Ultimate Parent:** AMB # 045499 - Continental General Holdings LLC

## Best's Credit Ratings

### Financial Strength Rating (FSR)

|                                                   |
|---------------------------------------------------|
| <b>B+</b><br><b>Good</b>                          |
| Outlook: <b>Stable</b><br>Action: <b>Affirmed</b> |

### Issuer Credit Rating (ICR)

|                                                   |
|---------------------------------------------------|
| <b>bbb-</b><br><b>Good</b>                        |
| Outlook: <b>Stable</b><br>Action: <b>Affirmed</b> |

## Assessment Descriptors

| Balance Sheet Strength     | <b>Strong</b>       |
|----------------------------|---------------------|
| Operating Performance      | <b>Adequate</b>     |
| Business Profile           | <b>Very Limited</b> |
| Enterprise Risk Management | <b>Appropriate</b>  |

## Rating Unit - Members

**Rating Unit:** Continental General Ins Co | **AMB #:** 007360

**AMB #**   **Rating Unit Members**  
006619   HealthSpring Insurance Company \*

\* AMB# 006619 was deleted as a member of the Rating unit

## Rating Rationale

### Balance Sheet Strength: **Strong**

- The risk-adjusted capitalization of Continental General Insurance Company (CGIC) remains at the very strong level as measured by Best's Capital Adequacy Ratio (BCAR).
- The company has successfully grown its absolute level of capital, net premiums, and invested assets through primarily a series of acquisitions of closed blocks of long-term care (LTC) insurance business.
- The investment portfolio mainly includes fixed-income securities with good credit quality, as well as an allocation in value-oriented equities that can help achieve real returns to match longer-duration inflation-linked liabilities.
- Significant volatility in unrealized capital gains or losses in its equity investment portfolio is stabilized by increases or decreases in the asset valuation reserve, respectively; however, these equity investments represent a material percentage of CGIC's capital and surplus.

### Operating Performance: **Adequate**

- State-approved in-force LTC rate increases have contributed to premiums remaining robust despite the company not writing any material new organic business for several years.
- CGIC's current business plan calls for material growth in premiums, assets, and policyowner count across diversified lines of business, including a range of individual life insurance and annuity product types, driven by new transactions and strategic partnerships. These could result in volatile statutory results due to asset transfers through inbound coinsurance treaties or material new business acquisition cost strain on available capital.
- A sister company called Continental General Services LLC, is a third-party administrator whose revenues are expected to help the organization more efficiently spread its fixed expenses across more policies over time.
- Growth in assets under management and the higher interest rate environment are expected to support favorable net investment income trends over time, although this can be tempered by unrealized losses in the equity investment portfolio.

### Business Profile: **Very Limited**

- CGIC is concentrated in LTC insurance that constitutes over 90% of retained reserves and net premium, with over 70% deriving from five states.
- As with other carriers acquiring closed LTC blocks, the need for additional deals for growth and rate increases from individual state regulators highlights the company's concentration risk.
- The company has, however, begun diversifying its reserve profile and distribution channels, through both organic product initiatives and block reinsurance deals that are constantly being evaluated for meeting disciplined return targets.
- The company has limited competition in its core market of acquiring closed LTC blocks, although CGIC will likely face substantial competition as the company continues to scale up operations over time.
- Long-standing management team has a history of re/insurance industry solutions expertise and deep investment management experience.

### Enterprise Risk Management: **Appropriate**

- Established and formal enterprise risk management (ERM) program in place, which is expected to evolve in line with the company's risk profile.
- CGIC has taken a conservative approach by requiring additional asset adequacy reserves in some years based on periodic cash flow testing results, market conditions, and industry claims trends.
- The company maintains a register of risks that are ranked depending on each risk's likelihood and potential impact on surplus; a dashboard details the risk owner, mitigation controls, and residual risks.
- The re/insurance market is extremely competitive but varied among partner and consumer needs, and CGIC is selective through its use of risk management.
- Given the range of blocks onboarded by CGIC from various carriers, the company monitors its relationships with contracted third-party service and administration providers closely to minimize operational risk.

## Outlook

- The stable outlooks reflect the expectation that the company maintains a strong overall balance sheet strength assessment and adequate operating performance.

## Rating Drivers

- While unlikely, positive rating movement is possible from the company achieving a more diversified business profile and sustained profitable premium growth.
- A negative rating action could occur if CGIC reports a decline in its overall balance sheet strength metrics including risk-adjusted capitalization or sustained unrealized losses in its equity investment portfolio.
- A negative rating action could occur if the company reports a deterioration in its overall operating performance metrics.
- A negative rating action could occur if the company's internal controls for its evolving risks negatively impact the enterprise risk management assessment.

## Key Financial Indicators

### Best's Capital Adequacy Ratio (BCAR) Scores (%)

| Confidence Level | 95.0 | 99.0 | 99.5 | 99.6 |
|------------------|------|------|------|------|
| BCAR Score       | 45.6 | 29.1 | 22.4 | 20.6 |

Source: Best's Capital Adequacy Ratio Model - L/H, US

| Key Financial Indicators USD (000) | 9-Months  |           | Year End - December 31 |           |           |           |           |
|------------------------------------|-----------|-----------|------------------------|-----------|-----------|-----------|-----------|
|                                    | 2025      | 2024      | 2024                   | 2023      | 2022      | 2021      | 2020      |
| Assets:                            |           |           |                        |           |           |           |           |
| General Account                    | 5,253,793 | 4,747,890 | 4,615,310              | 4,735,603 | 4,413,425 | 4,340,271 | 4,392,730 |
| Total                              | 5,253,793 | 4,747,890 | 4,615,310              | 4,735,603 | 4,413,425 | 4,340,271 | 4,392,730 |
| Liabilities:                       |           |           |                        |           |           |           |           |
| Net Life Reserves                  | 219,583   | 226,646   | 224,162                | 235,023   | 245,480   | 255,328   | 280,783   |
| Net Accident & Health Reserves     | 3,986,641 | 3,637,626 | 3,630,839              | 3,630,205 | 3,522,209 | 3,550,500 | 3,641,345 |
| Liability for Deposit Contracts    | 1,630     | 1,514     | 1,519                  | 1,758     | 1,779     | 1,698     | 1,984     |
| Asset Valuation Reserve            | 185,406   | 82,096    | 56,578                 | 114,689   | 81,121    | 49,716    | 39,560    |
| Other General Account              | 263,194   | 244,039   | 139,842                | 186,927   | 142,392   | 136,131   | 131,213   |
| Total                              | 4,656,454 | 4,191,921 | 4,052,940              | 4,168,603 | 3,992,982 | 3,993,372 | 4,094,885 |
| Total Capital and Surplus          | 597,339   | 555,969   | 562,370                | 567,000   | 420,443   | 346,898   | 297,845   |
| Net Income                         | 18,802    | -13,484   | 13,876                 | 42,805    | 92,431    | 162,663   | 76        |
| Net Premiums Earned                | 450,366   | 74,788    | 98,715                 | 199,940   | 105,522   | 106,336   | 117,702   |
| Net Investment Income              | 141,994   | 159,530   | 207,089                | 212,426   | 189,070   | 191,199   | 202,790   |

Source: BestLink® - Best's Financial Suite

| Key Financial Ratios (%)                | 9-Months |      | Year End - December 31 |      |      |      |      | Weighted Average |
|-----------------------------------------|----------|------|------------------------|------|------|------|------|------------------|
|                                         | 2025     | 2024 | 2024                   | 2023 | 2022 | 2021 | 2020 |                  |
| Operating Return on Revenue             | 1.8      | -0.8 | -0.1                   | 6.3  | 29.6 | 55.2 | 2.1  | 17.5             |
| Operating Return on Capital and Surplus | 2.6      | -0.5 | -0.1                   | 5.4  | 23.7 | 53.1 | 2.4  | 14.3             |
| Net Investment Yield                    | 3.8      | 4.5  | 4.4                    | 4.7  | 4.3  | 4.4  | 4.7  | 4.5              |
| Pre-Tax Investment Total Return         | 8.5      | 2.8  | 2.3                    | 8.4  | 4.6  | 4.5  | 4.4  | 4.8              |

Source: BestLink® - Best's Financial Suite

|                                                    | 9-Months |      | Year End - December 31 |      |      |      |      |
|----------------------------------------------------|----------|------|------------------------|------|------|------|------|
| Leverage (%)                                       | 2025     | 2024 | 2024                   | 2023 | 2022 | 2021 | 2020 |
| General Account Liabilities to Capital and Surplus | 7.8      | 7.5  | 7.2                    | 7.4  | 9.5  | 11.5 | 13.7 |
| Higher Risk Assets to Capital and Surplus:         |          |      |                        |      |      |      |      |
| Mortgages Not in Good Standing                     | ...      | ...  | ...                    | ...  | ...  | 2.7  | 8.0  |
| All Other Higher Risk Assets                       | 45.8     | 50.9 | 37.8                   | 44.8 | 57.7 | 54.4 | 77.5 |

Source: BestLink® - Best's Financial Suite

|                                   | 9-Months |        | Year End - December 31 |         |        |        |        |
|-----------------------------------|----------|--------|------------------------|---------|--------|--------|--------|
| Liquidity Analysis                | 2025     | 2024   | 2024                   | 2023    | 2022   | 2021   | 2020   |
| Current Liquidity (%)             | 106.7    | 106.4  | 107.1                  | 107.5   | 108.9  | 105.7  | 102.5  |
| Net Operating Cash Flow USD (000) | 375,840  | -6,059 | -15,219                | 137,698 | 38,586 | 57,427 | 98,734 |

Source: BestLink® - Best's Financial Suite

## Credit Analysis

### Balance Sheet Strength

#### Capitalization

The risk-adjusted capitalization of Continental General Insurance Company (CGIC or Continental General) (Austin, TX) remains at the very strong level at year-end 2024 as measured by Best's Capital Adequacy Ratio (BCAR). CGIC has grown its level of available capital and invested assets steadily over the last five years by efficiently managing closed blocks of primarily long-term care (LTC) insurance business. These acquired blocks most notably include the statutory merger of the ex-Humana Kanawha block in 2018. Other notable transactions include the reinsurance of incremental LTC business from Anthem's Elevance Health Inc's entity in 2023, and the recapture of LTC and life insurance policies from Munich Re in 2025, highlighting CGIC's continued implementation of its LTC acquisition strategy. Total available capital has grown at a high compound annual growth rate over the last five years.

CGIC was acquired by new ownership on July 1, 2021, which has provided operational and strategic direction, in addition to leading the company's value-oriented equity investment allocation that has contributed to favorable overall investment performance over time. The principal owner provides implicit and explicit support to CGIC as needed. Under a consent order with the Texas Department of Insurance (TDI), Continental General has agreed to maintain CGIC's statutory risk-based capital (RBC) ratio at a minimum of 400% (company action level) until the end of 2026, which CGIC currently exceeds. Either company must also notify TDI of all actions taken to correct any deficiencies in statutory solvency no later than 45 days after the end of the quarter in which the RBC Ratio level is deficient. In addition, the company could not declare nor pay dividends or other distributions before December 31, 2024; and no dividends had been up streamed in the first nine months of 2025. Also, the company must hold and not release the remaining Kanawha LTC block pre-acquisition additional asset adequacy testing (AAT) reserves of approximately \$300 million until December 31, 2028, unless approved by the TDI Commissioner.

The company's quick and current liquidity ratios remain favorable at 58% and 107% at year-end 2024, respectively, and a large percentage of equity and fixed income investments are publicly traded; however severe other-than-temporary unrealized capital losses and a sudden increase in claims, surrenders, or other costs will be monitored. The company has some unrealized capital losses in its investment portfolio, which could present some liquidity challenges should the assets need to be sold at a realized loss to support policyowner claims or other costs. The liquidity risk if claim incidence rates increase significantly more than priced for, is partially mitigated by management's intention to hold the majority of these assets to maturity to meet the later duration liabilities, under the company's asset-liability management framework. The company's stress test results also indicate some shock to claim rates would be manageable, and that the company's investment performance could benefit from higher reinvestment rates. AM Best will monitor the company's capitalization against planned growth initiatives.

CGIC is concentrated in LTC products that constituted over 90% of retained reserves and net written premium at the end of the third quarter of 2025, which places some pressure on the company's balance sheet strength and business profile assessments. CGIC has begun implementing plans to strategically diversify its product portfolio offering, and to grow organic new business and/or flow reinsurance, to help diversify CGIC's business profile and to help cover fixed expenses, which AM Best will continue to monitor. Most notably, the company in 2025 launched the NewBridge Final Expense and Reframe Indexed Universal Life products, with the latter offering an accelerated LTC benefit. CGIC's strategic use of life reinsurance from well-rated counterparties is expected to reduce the impact of upfront commissions and acquisition cost strain on available capital, and CGIC is expected to grow and diversify profitable revenue streams over time. The company could also enhance regional diversification; however, the high degree of competition in the

## Balance Sheet Strength (Continued...)

company's core health and new marketplaces such as final expense life insurance is a headwind toward execution of the company's business plan. CGIC's business strategy also continues to include additional inbound reinsurance treaties of primarily closed blocks that the company has been actively evaluating, including life insurance such as final expense and individual annuities, which would significantly enhance diversification, assets under management, and the company's operating scale. Additional block reinsurance deals would have a larger one-time impact than direct product sales, however additional volatility could occur due to asset transfers through inbound coinsurance treaties.

| Capital Generation Analysis USD (000)         | 9-Months       |                | Year End - December 31 |                |                |                |                |
|-----------------------------------------------|----------------|----------------|------------------------|----------------|----------------|----------------|----------------|
|                                               | 2025           | 2024           | 2024                   | 2023           | 2022           | 2021           | 2020           |
| Beginning Capital and Surplus                 | 562,370        | 567,000        | 567,000                | 420,443        | 346,898        | 297,845        | 300,518        |
| Net Operating Gain                            | 11,518         | -1,964         | -318                   | 26,521         | 90,742         | 171,097        | 7,055          |
| Net Realized Capital Gains (Losses)           | 7,283          | -11,520        | 14,194                 | 16,284         | 1,689          | -8,433         | -6,979         |
| Net Unrealized Capital Gains (Losses)         | 129,779        | -38,780        | -85,025                | 119,620        | 24,219         | 8,151          | -4,615         |
| Net Change in Paid-In Capital and Surplus     | ...            | ...            | ...                    | ...            | ...            | -1,660,869     | ...            |
| Other Changes in Capital and Surplus          | -113,611       | 41,233         | 66,519                 | -15,868        | -43,105        | 1,539,108      | 1,866          |
| Net Change in Capital and Surplus             | 34,969         | -11,031        | -4,630                 | 146,557        | 73,545         | 49,053         | -2,673         |
| <b>Ending Capital and Surplus</b>             | <b>597,339</b> | <b>555,969</b> | <b>562,370</b>         | <b>567,000</b> | <b>420,443</b> | <b>346,898</b> | <b>297,845</b> |
| Net Change in Capital and Surplus (%)         | 6.2            | -1.9           | -0.8                   | 34.9           | 21.2           | 16.5           | -0.9           |
| Net Change in Capital and Surplus (5 yr CAGR) | ...            | ...            | 13.4                   | ...            | ...            | ...            | ...            |

Source: BestLink® - Best's Financial Suite

## Asset Liability Management - Investments

CGIC's capitalization is supported primarily by a quality fixed income security portfolio that constituted approximately 61% of invested assets at the end of the third quarter of 2025, and which the company manages according to its investment policy with an outsourced asset manager. The company also had an 18% allocation to value-oriented public equity securities, which is now close to CGIC's 25% aggregate limit as communicated by management. These equity investments could achieve real returns to match the longer-duration inflation-linked liabilities that the company is exposed to in its inforce LTC book (approximately 50% of LTC policies also have an inflation protection benefit feature). The equity investments are directed and managed by the company's principal owner, who believes CGIC's investment strategy is designed to fit the company's liability profile and leverages the distinct corporate structure and management expertise in order to manage its assets in an efficient and cost-effective manner. Several common stock investments are in the mining sector, in which the investment team at CGIC has demonstrated deep expertise. Several investments have more favorable debt and cash positions than the S&P 500, limiting the company's risks associated with market volatility; however, the impact on CGIC's overall balance sheet strength metrics from volatility associated with the demand for the excavated minerals and macro-economic and geopolitical conditions, will continue to be monitored.

As the company shifted assets into common stocks, its allocation to NAIC Class 2 bonds reduced to 47% at year-end 2024 from 53% at year-end 2022. Below-investment-grade (BIG) bonds represented 5.4% of invested assets at year-end 2024, which is relatively high compared to the peer and composite average; however, CGIC has realized other-than-temporary impairment (OTTI) charges that were manageable in the last five years on the company's fixed income, common stock, and modest mortgage loan investments. CGIC has increased its allocation to direct real estate investments, and aims to also increase its mortgage loan portfolio.

Note that the below two data tables titled "Bonds and Short Term Investments Distribution by Maturity" and "Bonds Distribution by Issuer" exclude foreign bonds issued in countries other than the United States. For example, CGIC held approximately \$528 million of foreign industrial and miscellaneous bonds at year-end 2024. The below percentages would be higher if the foreign bonds are included in the data tables.

## Balance Sheet Strength (Continued...)

| Composition of Cash and Invested Assets  | 9-Months     |              | Year End - December 31 |              |              |              |              |
|------------------------------------------|--------------|--------------|------------------------|--------------|--------------|--------------|--------------|
|                                          | 2025         | 2024         | 2024                   | 2023         | 2022         | 2021         | 2020         |
| Total Cash and Invested Assets USD (000) | 5,201,554    | 4,684,791    | 4,558,916              | 4,675,138    | 4,343,880    | 4,287,665    | 4,337,393    |
| Composition Percentages (%)              |              |              |                        |              |              |              |              |
| Unaffiliated:                            |              |              |                        |              |              |              |              |
| Cash and Short Term Investments          | 17.1         | 6.3          | 8.7                    | 10.6         | 5.8          | 6.0          | 4.2          |
| Bonds                                    | 60.5         | 78.5         | 77.6                   | 79.4         | 85.3         | 87.2         | 89.6         |
| Stocks                                   | 17.2         | 9.4          | 7.9                    | 4.9          | 7.3          | 4.3          | 2.0          |
| Mortgage Loans                           | 1.3          | 0.5          | 1.7                    | 0.1          | 0.1          | 0.3          | 1.3          |
| Other Invested Assets                    | 2.1          | 2.2          | 1.5                    | 0.7          | 1.7          | 0.9          | 0.7          |
| <b>Total Unaffiliated</b>                | <b>98.1</b>  | <b>97.0</b>  | <b>97.3</b>            | <b>95.7</b>  | <b>100.1</b> | <b>98.7</b>  | <b>97.9</b>  |
| Investments in Affiliates                | 1.9          | 3.1          | 2.7                    | 4.3          | ...          | 1.6          | 2.2          |
| Non-Admitted                             | ...          | ...          | ...                    | ...          | -0.2         | -0.3         | ...          |
| <b>Total</b>                             | <b>100.0</b> | <b>100.0</b> | <b>100.0</b>           | <b>100.0</b> | <b>100.0</b> | <b>100.0</b> | <b>100.0</b> |

Source: BestLink® - Best's Financial Suite

| Bonds and Short Term Investments - Distribution by Maturity (%) | Years      |             |             |             |             | Average (Years) |
|-----------------------------------------------------------------|------------|-------------|-------------|-------------|-------------|-----------------|
|                                                                 | 0-1        | 1-5         | 5-10        | 10-20       | 20+         |                 |
| Government Bonds                                                | ...        | ...         | 0.3         | 0.2         | 0.1         | 11.1            |
| Government Agencies and Municipal Bonds                         | 0.8        | 0.9         | 1.2         | 2.6         | 1.5         | 12.8            |
| Industrial and Miscellaneous Bonds                              | 2.3        | 14.2        | 14.9        | 22.5        | 34.8        | 15.4            |
| Hybrid Securities                                               | 0.1        | ...         | ...         | 0.1         | 3.4         | 24.2            |
| Affiliated Bonds                                                | ...        | ...         | ...         | ...         | ...         | 3.0             |
| <b>Total Bonds</b>                                              | <b>3.2</b> | <b>15.1</b> | <b>16.5</b> | <b>25.5</b> | <b>39.8</b> | <b>15.5</b>     |

Source: BestLink® - Best's Financial Suite

| Bonds - Distribution by Issuer         | Year End - December 31 |              |              |              |              |
|----------------------------------------|------------------------|--------------|--------------|--------------|--------------|
|                                        | 2024                   | 2023         | 2022         | 2021         | 2020         |
| Bonds USD (000)                        | 3,537,010              | 3,711,357    | 3,705,701    | 3,738,532    | 3,888,540    |
| US Government (%)                      | 0.5                    | 0.5          | 0.5          | 0.3          | 0.2          |
| Foreign Government (%)                 | 0.2                    | 0.3          | 0.7          | 0.2          | ...          |
| Foreign - All Other (%)                | 18.0                   | 13.9         | 8.3          | 7.8          | 7.7          |
| State, Municipal & Special Revenue (%) | 7.0                    | 7.9          | 8.5          | 9.3          | 9.9          |
| Industrial & Miscellaneous (%)         | 70.7                   | 72.9         | 81.9         | 82.4         | 82.1         |
| Hybrid Securities (%)                  | 3.5                    | 4.5          | ...          | ...          | ...          |
| Affiliated (%)                         | ...                    | ...          | ...          | ...          | 0.1          |
| <b>Total Bonds (%)</b>                 | <b>100.0</b>           | <b>100.0</b> | <b>100.0</b> | <b>100.0</b> | <b>100.0</b> |

Source: BestLink® - Best's Financial Suite

## Reserve Adequacy

CGIC's experienced leadership team carry out annual cashflow and stress testing to inform the level of additional asset adequacy reserves the company should hold to maintain the security of policyholder benefits. The reserves account for all future expected cashflows including expected claim incidence rates, claim termination rates, mortality, policy persistency, crediting rates, and approved premium rate increases. CGIC periodically reviews its experience and updates its reserves based on emerging market conditions and claims experience. Management reviews and updates the reserving assumptions to align with experience so that the reserves make adequate provision for the anticipated cashflows required by the contractual obligations and related expenses of the company, when considered in light of the assets held by the company and the investment earnings on the assets. The optional riders are included in the reserves on a seriatim basis. Management believes that CGIC's LTC reserves remain appropriate in aggregate with sufficient



### Balance Sheet Strength (Continued...)

conservatism. For example, the reserves assume a low and conservative 0.5% to 1% ultimate lapse rate, compared to 2% assumed by other carriers with large LTC blocks.

### Operating Performance

Strong investment performance has contributed to favorable total operating performance metrics. Net investment income growth reflects increases in CGIC's level of invested assets and capital and surplus over the last decade through a series of assumed reinsurance treaties and acquisitions of primarily closed blocks of LTC. The successful integrations have resulted in CGIC generating positive statutory net income in the last five years. CGIC has taken a conservative approach to reserving by posting additional AAT reserves in some years based on market conditions and industry claims trends. This has helped support strong investment income to drive operating gains. Net realized gains in some years have also enhanced statutory earnings.

Net premium written (NPW) is somewhat volatile year-to-year, reflecting the lumpy nature of closed block acquisitions. NPW increased in 2025 reflecting the recapture of a block of LTC policies previously reinsured to Munich Re, after declining in 2024, which highlights the volatility associated with acquiring additional blocks to enhance operating scale. In 2025 CGIC implemented various strategic growth initiatives, which most notably included the launch of a new final expense product and a hybrid IUL product that are reinsured with highly rated counterparties that also provides services to enhance the value proposition to consumers. In 2025, the company formed a Product Review Committee to perform reviews of new products to ensure alignment with strategic corporate goals. The company's net premium levels have remained robust partly due to favorable policy persistency despite some premium rate increases, which can be further enhanced through the company's pre- and post-claim wellness program initiatives. An innovative pre-claim wellness program pilot could support positive health outcomes for policyowners and mitigate risk for the company, by delaying or preventing high-expense facility claims through simple but effective health-related support and devices. This wellness program allows for earlier intervention by a dedicated aging care ally, who can facilitate the provision of basic services and equipment such as walkers and grab bars to assist claimants with transferring independently, removing trip hazards, and grocery and pharmacy subscription services.

The achievement of premium rate increases on the LTC blocks has been a key strategy for CGIC to help enhance net premiums written and the future risk-adjusted capitalization levels of the company. Management demonstrated that the company has achieved double their planned rate increase goals. They have a team devoted to rate increase filings, implementation, and communication. CGIC's experienced and long-standing management have an intimate understanding of each state regulator's limitations on approving actuarially justified premium rate increases for in-force LTC business. The company has been active in updating reserving assumptions, working with its primary state regulator, the Texas Department of Insurance, and other regulators in communicating plans to manage the LTC block over time.

CGIC's claims management process and controls also include technologies such as GPS monitoring of caregivers through a vendor to help mitigate fraudulent claims, and thereby in the long-run keep insurance premiums accessible for more lives to help close morbidity and mortality protection gaps for valid claims that have been sustainably priced for.

The company's currently very limited business profile reflects a concentration in LTC products which constitutes over 90% of retained reserves and NPW at the end of the third quarter of 2025. LTC is considered the riskiest product on AM Best's product risk continuum and has typically incurred high losses industry-wide due to previous mispricing by several players, who generally overestimated expected lapse rates and investment returns and underestimated claim costs. That said, CGIC repriced the business upon acquisition which mitigates risk. Further, strong investment returns have largely offset claim costs, reserve increases as the blocks mature, and general expenses, driven by both the growth in invested assets and the group's strong investment capabilities. Management reprices new transactions by targeting a negative-to-zero ceding commission for assumed blocks, which can also incrementally increase the amount of assets transferred to CGIC at market value that back the reserves and existing interest maintenance reserve. Management can then reinvest the assets into their target portfolio after potential delay and ramp periods to achieve an uplift in investment yields and/or to mitigate risk through optimizing the portfolio. CGIC's return on equity measures have been favorable overall, although the extent to which realized gains offset underlying earnings will be monitored.

AM Best expects that disciplined expense management via efficient use of technology, but net performance could fluctuate as a result of large block deals and the capital strain associated with new product offerings and other marketing and distribution initiatives. In particular, the results of the company's annual cashflow and stress testing exercises that help management assess the amount of AAT reserve held by the company, is expected to be a source of uncertainty as management adjusts their assumptions as the closed block ages, market conditions change, and claims experience emerges. While higher mortality in some quarters and the higher interest rate environment have been incremental tailwinds to many LTC blocks, healthcare utilization has generally increased since the pandemic

## Operating Performance (Continued...)

lockdowns CGIC's block is expected to reach its peak reserve in a few years when the number of LTC claims incurred is expected to rise. The company has invested in upgrading its administration platform and plans to continue advancing its technology to successfully achieve gains in efficiency.

### Year End - December 31

| Net Operating Gain By LOB USD (000) | 2024 | 2023   | 2022   | 2021    | 2020   |
|-------------------------------------|------|--------|--------|---------|--------|
| Individual Life                     | -231 | -343   | 2,530  | 515     | -3,313 |
| Group Life                          | -598 | -444   | -47    | -959    | -468   |
| Individual Annuities                | 616  | 484    | 2,251  | 10,084  | -7,714 |
| Group Annuities                     | 94   | 1,203  | -850   | 361     | 1,520  |
| Accident & Health                   | -200 | 25,621 | 86,857 | 161,096 | 17,030 |
| Total                               | -318 | 26,521 | 90,742 | 171,097 | 7,055  |

Source: BestLink® - Best's Financial Suite

### Year End - December 31

| Accident & Health Statistics          | 2024     | 2023     | 2022    | 2021    | 2020     |
|---------------------------------------|----------|----------|---------|---------|----------|
| Net Premiums Written USD (000)        | 101,875  | 202,591  | 107,783 | 109,288 | 109,721  |
| Net Premiums Earned USD (000)         | 102,315  | 202,708  | 108,558 | 109,348 | 110,214  |
| Claims and Cost Containment Ratio (%) | 233.7    | 155.9    | 145.8   | 72.5    | 229.4    |
| Expense Ratio (%)                     | 53.1     | 22.7     | 35.2    | 32.4    | 35.3     |
| Combined Ratio (%)                    | 286.8    | 178.6    | 180.9   | 104.9   | 264.7    |
| Underwriting Results USD (000)        | -190,867 | -159,323 | -87,593 | -5,434  | -181,370 |

Source: BestLink® - Best's Financial Suite

## Business Profile

Continental General Insurance Company (CGIC) is based in Austin, Texas, and was incorporated in 1961 as a life, accident, and health insurance company. The company and its strategic partners provide insurance and administrative services to over 80,000 policyholders. CGIC is dedicated to upholding the commitments it has made to provide excellent service to all its policyholders and serve the needs of its claimants and their families during difficult times. CGIC's in-force business includes mainly long-term care insurance (LTC), and also relatively small blocks of annuities, life insurance, fully ceded Medicare Supplement business, and other supplemental health products. CGIC had not written any new direct business since 2014, but the company launched a new final expense product and an indexed universal life insurance product in 2025 which could diversify earnings and the company's overall risk profile over time.

CGIC is a wholly owned subsidiary of Continental Insurance Group Ltd (CIG), which in turn is a wholly-owned subsidiary of Continental General Holdings LLC (CGH), which is in turn controlled by the ultimate principal owner of CGIC, Mr. Michael Gorzynski. CGIC also has two sister companies:

(1) Continental General Services LLC (CGS) which provides third-party administration (TPA) services to CGIC through an affiliate TPA contract, and to various other third-party insurance carriers.

(2) Continental General Management LLC (CGM) which has a cost sharing agreement with CGIC for the group's management team and non-TPA employees which includes industry veteran experts with long company tenure in areas such as Finance, Actuarial, Compliance, and IT. Continental General (CG) is an umbrella marketing name for CGIC, CGS, and CGM.

The existing ultimate owner of CG has a long-term commitment to the group and is focused on leading the company's strategy that enables policyholders and their families to successfully manage the financial risks that come with age. On March 10, 2023, CG announced the strategic expansion of its platform with its launch of its TPA, CGS. The group offers operational and administrative support services to other carriers ranging from claims processing and audits to full policy administration, which the firm believes is a significant opportunity because other primary insurers have deemphasized the resourcing of non-core, orphan, or stray LTC blocks. With a dedicated TPA affiliate, management believes CG is well positioned to offer efficient policy administrative solutions, and the investment underscores the group's continued commitment to pursuing additional diversified strategic growth opportunities. With the TPA market growing, the leadership team saw an opportunity to leverage their knowledge and expertise to expand the level of operational and administrative support services the group can offer directly to (re)insurance companies. CG has provided claims



## Business Profile (Continued...)

auditing solutions to a number of large life and LTC (re)insurance providers, such as Employers Reassurance Corporation, a Kansas-based life, accident and health insurance company. This further supports CG's strategy to diversify earnings through capital-light fee-based revenue, leveraging the firm's successful track record in acquiring and managing such blocks.

Previously, on December 24, 2015, HC2 (now known as Innovate Corp.) acquired CGIC and United Teacher Associates Insurance Company (UTA) from Great American Financial Resources Inc, of American Financial Group. Effective December 31, 2016, UTA was merged into CGIC and CGIC state of domicile changed from Ohio to Texas. Effective August 9, 2018, CGIC acquired Humana Insurance Company's ex-LTC subsidiary called Kanawha Insurance Company (KIC), which was merged into CGIC.

On July 1, 2021, CGH acquired 100% of the issued and outstanding shares of CIG from Innovate for a cash consideration of \$2,500,000. The current ultimate owner of CGIC is the beneficial owner of 6.6% of Innovate's outstanding common stock. In 2021 CGIC also made an extraordinary distribution to Innovate with a value of approximately \$90,700,000 consisting of \$62,200,000 in cash and \$28,500,000 in securities. In addition, the terms of certain securities of Innovate affiliates that are currently owned by CGIC were modified to provide for their mandatory redemption on a date within 5 years following closing. The transaction and extraordinary distribution were approved by the Texas Department of Insurance (TDI) on June 30, 2021, subject to a consent order.

Effective April 3, 2023, CGIC acquired incremental long term care business from Elevance highlighting CGIC's continued implementation of their LTC acquisition strategy. CGIC entered into a 100% coinsurance reinsurance agreement with Anthem Blue Cross Life and Health Insurance Company (CA) and Unicare Life & Health Insurance Company (Indiana). Simultaneously with the closing of the coinsurance agreement, an assumption and novation agreement was signed which covered approximately 99% of the policies, and a separate treaty covering the handful of Unicare policies was signed later after required regulatory approval.

CGIC has limited competition in its core market of acquiring closed LTC blocks that are non-core or underperforming for its partners, but the company will likely face substantial competition and execution risk as it continues to scale and diversify operations over time.

| 2024 By Line Business | Direct Premiums Written |              | Reinsurance Premiums Assumed |              | Reinsurance Premiums Ceded |              | Net Premiums Written |              | Business Retention |
|-----------------------|-------------------------|--------------|------------------------------|--------------|----------------------------|--------------|----------------------|--------------|--------------------|
|                       | USD (000)               | %            | USD (000)                    | %            | USD (000)                  | %            | USD (000)            | %            | %                  |
| Individual Life       | 5,774                   | 3.6          | 748                          | 9.4          | 10,031                     | 14.3         | -3,509               | -3.6         | -53.8              |
| Group Life            | ...                     | ...          | 400                          | 5.0          | 1,132                      | 1.6          | -732                 | -0.7         | -99.9              |
| Individual Annuities  | 170                     | 0.1          | 6                            | 0.1          | 86                         | 0.1          | 90                   | 0.1          | 51.2               |
| Group Annuities       | 1,003                   | 0.6          | ...                          | ...          | 12                         | ...          | 991                  | 1.0          | 98.8               |
| Accident & Health     | 154,147                 | 95.7         | 6,794                        | 85.5         | 59,066                     | 84.0         | 101,875              | 103.2        | 63.3               |
| <b>Total</b>          | <b>161,094</b>          | <b>100.0</b> | <b>7,948</b>                 | <b>100.0</b> | <b>70,327</b>              | <b>100.0</b> | <b>98,715</b>        | <b>100.0</b> | <b>58.4</b>        |

Source: BestLink® - Best's Financial Suite

## Year End - December 31

### Geographic Breakdown by Direct Premiums Written and Deposit-Type Contracts USD (000)

|                                | 2024           | 2023           | 2022           | 2021           | 2020           |
|--------------------------------|----------------|----------------|----------------|----------------|----------------|
| Texas                          | 26,474         | 29,455         | 33,088         | 38,904         | 40,361         |
| Florida                        | 15,813         | 17,973         | 21,071         | 23,347         | 23,526         |
| North Carolina                 | 9,521          | 10,246         | 13,268         | 15,162         | 16,202         |
| Georgia                        | 6,496          | 6,917          | 7,726          | 8,297          | 8,691          |
| Minnesota                      | 5,879          | 5,956          | 6,301          | 6,475          | 6,429          |
| Top 5 States                   | 64,183         | 70,548         | 81,453         | 92,185         | 95,209         |
| All Other                      | 82,923         | 88,930         | 98,687         | 111,127        | 118,758        |
| <b>Total</b>                   | <b>147,106</b> | <b>159,478</b> | <b>180,140</b> | <b>203,312</b> | <b>213,967</b> |
| Geographic Concentration Index | 0.06           | ...            | ...            | ...            | ...            |

Source: BestLink® - Best's Financial Suite

## Enterprise Risk Management

The company's experienced leadership team and Chief Risk Officer (CRO) carry out annual cashflow and stress testing to assess the level of additional AAT reserves the company should hold, and the company maintains a detailed risk register that outlines the company's risk tolerances and mitigation strategies for a range of risks specific to the nature of the inforce book; which supports the company's appropriate ERM assessment. CGIC's experienced leadership team focuses on identifying, assessing, and mitigating risks to protect Continental General's operation against a range of risks that could threaten its strategic success, financial strength, and marketplace reputation. According to management, the company's multi-faceted strategy to ERM ultimately ensures CGIC is the trusted partner and consolidator of choice in the LTC market, and an effective TPA across insurance business lines. The nature of the company's ERM activities aligns with the company's profile as a whole and to the nature, scale, and complexity of the risks the company faces.

CGIC's risk register outlines a high/medium/low risk score in a heat map based on the likelihood and potential impact of each risk (measured relative to the company's capital and surplus), along with information concerning the risk owner, mitigation controls, and residual risks. The risk register includes qualitative and quantitative risk tolerances for numerous internal and external risk topics in six risk categories (credit, insurance, liquidity, market, operational, and strategic). The company also closely tracks key risk metrics specific to the nature of the inforce policies, for example around attained age, benefit period, percentage of business that was originally sold on a preferred underwriting basis, claim definitions, inflation riders, the proportion of policies disabled and in-claim, average daily benefit size, policy elimination period, proportion of policies originally issued with a limited premium payment option that has expired, the proportion of business with comprehensive benefits (provided at home in addition to at healthcare facilities), and the percentage of business offered on a more risky expense reimbursement rather than indemnity basis. The company also maintains a detailed watch list for both fixed income and equity investments, which is tracked daily ultimately by in-house investment management personnel.

The CRO oversees the ERM framework. The CFO, Chief Actuary, General Counsel, Head of IT, and COO are also part of the ERM Committee who meet quarterly or more frequently if needed. The board of directors sets risk tolerance and routinely get updates from the ERM Committee and executive management. The ERM Committee assesses whether risk tolerances remain appropriate, and they recommend any changes to the board. The ERM Committee also routinely reviews changes in the treasury yield curve, the stock market performance, the total return and earnings performance of equity securities, and the impact of changes to capital and surplus and risk-adjusted capitalization levels, and in turn the impact on the expected severity of each risk in the risk register. One staff member reporting to the CRO, is responsible for maintaining the relevant documents and conducts periodic interviews with all the key risk owners. The key risk owners must acknowledge quarterly that they have reviewed the risks and they are being monitored. The ERM Committee receives "bottom-up" updates from the key risk owners on any internal or external changes that may impact the likelihood or severity of the company's risks.

Given the range of legacy blocks onboarded by CGIC from various carriers, the company closely monitors the relationships with third-party partners and service providers to minimize operational risk. Continental General also recently invested in its administrative platform to support accelerated growth and for continued efficiency gains.

The company has concentration risk in various areas, namely its business mix (over 90% of retained reserves are LTC), geographic and regulatory exposure (over 70% of net written premium is derived from five states), revenue model and fixed cost coverage (mainly through inorganic LTC acquisitions), and investments (larger equity allocation than the industry and the principal owner of CGIC is also a director of certain equity holdings).

Given the company's elevated equity market exposure in its invested portfolio, and the higher level of asset volatility from general stock market or mining securities in particular, compared with fixed income securities; CGIC needs to continue monitoring its investment performance and respond to general or specific downside risk in its equity portfolio that could involve engaging in strategic and / or tactical hedging of its equity positions through a variety of instruments, including but not limited to swaps related to specific securities, sectors, markets, or indices, which can allow for tailored exposure management.

The fixed-income investment duration is better matched against CGIC's liability profile, so such investments in an unrealized capital loss position due to the higher interest rate environment, are being held to maturity. The common stock portfolio is about 19% and 168% of invested assets and C&S at the end of the third quarter of 2025, respectively, and the impact of any realized equity losses on surplus remains to be fully tested in actual sustained equity stress events.

## Reinsurance Summary

The company has reinsurance on certain inforce blocks, and CGIC is starting to utilize new business reinsurance as part of its growth strategy. The reinsurers generally are highly-rated, which increases the quality of reinsurance. The reinsurance is appropriate because it

**Enterprise Risk Management (Continued...)**

mitigates risk or reduces capital strain when CGIC issues new organic business. As the volume of direct business grows and the amount of reinsurance increases through the quota shares, reinsurance dependence will increase somewhat but this will be gradual due to the significant size of the existing inforce retained block.

The maximum amount CGIC would retain on any single life insurance policy is \$1,000,000. Retention limits under accident and health insurance policies vary by plan.

The Medicare Supplement health products are 100% reinsured to Cigna (and also previously Manhattan Life), which in turn fully administers these products. On August 31, 2012, in conjunction with and prior to the sale of certain affiliated insurance companies to Cigna, CGIC entered into a reinsurance agreement with Cigna to cede 100% of all accident and health policies, excluding LTC. Under the agreement, all activity on these policies after existing reinsurance, is ceded to Loyal American Life Insurance Company, a Cigna subsidiary. Before 2015, CGIC was fronting for Cigna the new sales of Medicare Supplement and other health products, which were immediately 100% reinsured to Cigna. This treaty closed to new business in 2015.

CGIC also assumes business through either inbound reinsurance or legal entity acquisitions. When evaluating such blocks, CGIC is selective in its risk management. For example, novation could be utilized to remove counterparty risk to less-well rated cedents, cash instead of assets in-kind could be transferred via coinsurance, and CGIC closely assesses the diversification benefits provided by new blocks of individual life insurance or annuities and how the average attained age of the insured lives compares with the LTC block to mitigate longevity risk.

The company reviews the credit ratings of its reinsurance counterparties on a quarterly basis. CGIC's processes have also included reviews of reinsurance trust agreements, on a quarterly basis, whether these are comfort trusts or trusts required by regulators for reinsurers unauthorized in TX.

The company strategically evaluates recaptures to support its business profile or projected operating performance. For example, on October 18, 2021, CGIC signed an amendment with Swiss Re Life & Health America treaties dated January 1, 1999, and January 1, 2007, resulting in the recapture of bulk Accidental Death Benefit and Accidental Death and Dismemberment riders, respectively. This amendment was effective September 30, 2021. In 2025, CGIC signed a recapture agreement with Munich Re to retain the full risk on LTC and life insurance policies that were previously reinsured, which added approximately \$395 million to CGIC's investable asset base.

**Environmental, Social & Governance**

AM Best considers CGIC's exposure to material environmental, social and governance (ESG) risks to be low, however the company's equity investment portfolio has elevated exposure to various mining securities that will continue to be closely monitored.

## Financial Statements

|                                               | 9-Months         |              | Year End - December 31 |              |                  |              |
|-----------------------------------------------|------------------|--------------|------------------------|--------------|------------------|--------------|
|                                               | 2025             |              | 2024                   |              | 2023             |              |
| <b>Balance Sheet</b>                          | <b>USD (000)</b> | <b>%</b>     | <b>USD (000)</b>       | <b>%</b>     | <b>USD (000)</b> | <b>%</b>     |
| Cash and Short Term Investments               | 889,528          | 16.9         | 398,366                | 8.6          | 496,633          | 10.5         |
| Bonds                                         | 3,147,010        | 59.9         | 3,537,010              | 76.6         | 3,711,357        | 78.4         |
| Preferred and Common Stock                    | 991,489          | 18.9         | 479,902                | 10.4         | 428,901          | 9.1          |
| Other Invested Assets                         | 173,527          | 3.3          | 143,638                | 3.1          | 38,246           | 0.8          |
| <b>Total Cash and Invested Assets</b>         | <b>5,201,554</b> | <b>99.0</b>  | <b>4,558,916</b>       | <b>98.8</b>  | <b>4,675,138</b> | <b>98.7</b>  |
| Premium Balances                              | -451             | ...          | -612                   | ...          | -614             | ...          |
| Other Assets                                  | 52,691           | 1.0          | 57,005                 | 1.2          | 61,080           | 1.3          |
| <b>Total General Account Assets</b>           | <b>5,253,793</b> | <b>100.0</b> | <b>4,615,310</b>       | <b>100.0</b> | <b>4,735,603</b> | <b>100.0</b> |
| <b>Total Assets</b>                           | <b>5,253,793</b> | <b>100.0</b> | <b>4,615,310</b>       | <b>100.0</b> | <b>4,735,603</b> | <b>100.0</b> |
| Net Life Reserves                             | 219,583          | 4.2          | 224,162                | 4.9          | 235,023          | 5.0          |
| Net Accident & Health Reserves                | 3,986,641        | 75.9         | 3,630,839              | 78.7         | 3,630,205        | 76.7         |
| Liability for Deposit Contracts               | 1,630            | ...          | 1,519                  | ...          | 1,758            | ...          |
| Asset Valuation Reserve                       | 185,406          | 3.5          | 56,578                 | 1.2          | 114,689          | 2.4          |
| Other Liabilities                             | 263,194          | 5.0          | 139,842                | 3.0          | 186,927          | 3.9          |
| <b>Total General Account Liabilities</b>      | <b>4,656,454</b> | <b>88.6</b>  | <b>4,052,940</b>       | <b>87.8</b>  | <b>4,168,603</b> | <b>88.0</b>  |
| <b>Total Liabilities</b>                      | <b>4,656,454</b> | <b>88.6</b>  | <b>4,052,940</b>       | <b>87.8</b>  | <b>4,168,603</b> | <b>88.0</b>  |
| Capital Stock                                 | 4,197            | 0.1          | 4,197                  | 0.1          | 4,197            | 0.1          |
| Paid-In and Contributed Surplus               | 211,230          | 4.0          | 211,230                | 4.6          | 211,230          | 4.5          |
| Unassigned Surplus                            | 381,912          | 7.3          | 346,943                | 7.5          | 351,573          | 7.4          |
| <b>Total Capital and Surplus</b>              | <b>597,339</b>   | <b>11.4</b>  | <b>562,370</b>         | <b>12.2</b>  | <b>567,000</b>   | <b>12.0</b>  |
| <b>Total Liabilities, Capital and Surplus</b> | <b>5,253,793</b> | <b>100.0</b> | <b>4,615,310</b>       | <b>100.0</b> | <b>4,735,603</b> | <b>100.0</b> |

Source: BestLink® - Best's Financial Suite

|                                    | 9-Months       |                | Year End - December 31 |                |
|------------------------------------|----------------|----------------|------------------------|----------------|
|                                    | 2025           | 2024           | 2024                   | 2023           |
| <b>Income Statement USD (000)</b>  |                |                |                        |                |
| Net Premiums Earned:               |                |                |                        |                |
| Individual Life                    | ...            | ...            | -3,509                 | -3,212         |
| Group Life                         | ...            | ...            | -732                   | -723           |
| Individual Annuities               | ...            | ...            | 90                     | 148            |
| Group Annuities                    | ...            | ...            | 991                    | 1,135          |
| Accident & Health                  | ...            | ...            | 101,875                | 202,591        |
| <b>Total Net Premiums Earned</b>   | <b>450,366</b> | <b>74,788</b>  | <b>98,715</b>          | <b>199,940</b> |
| Net Investment Income              | 141,994        | 159,530        | 207,089                | 212,426        |
| Other Income                       | 57,039         | 6,315          | 9,726                  | 7,994          |
| <b>Total Revenue</b>               | <b>649,399</b> | <b>240,633</b> | <b>315,531</b>         | <b>420,360</b> |
| Policy Benefits                    | 547,133        | 188,202        | 243,207                | 321,660        |
| Commissions and Expense Allowances | 6,062          | 6,756          | 8,853                  | 9,796          |
| Insurance and Other Expense        | 59,609         | 42,901         | 57,967                 | 48,932         |
| Dividends to Policyholders         | 79             | 87             | 118                    | 132            |
| <b>Pre-Tax Net Operating Gain</b>  | <b>36,515</b>  | <b>2,687</b>   | <b>5,385</b>           | <b>39,840</b>  |
| Income Taxes Incurred              | 24,997         | 4,652          | 5,704                  | 13,318         |
| <b>Net Operating Gain</b>          | <b>11,518</b>  | <b>-1,964</b>  | <b>-318</b>            | <b>26,521</b>  |
| Net Realized Capital Gains         | 7,283          | -11,520        | 14,194                 | 16,284         |
| <b>Net Income</b>                  | <b>18,802</b>  | <b>-13,484</b> | <b>13,876</b>          | <b>42,805</b>  |

Source: BestLink® - Best's Financial Suite



# BEST'S CREDIT REPORT

AMB #: 007360 - Continental General Insurance Company

| Statement of Operating Cash Flows USD (000) | 9-Months |         | Year End - December 31 |         |
|---------------------------------------------|----------|---------|------------------------|---------|
|                                             | 2025     | 2024    | 2024                   | 2023    |
| Net Premiums Collected                      | 450,438  | 74,845  | 98,550                 | 199,150 |
| Net Investment Income                       | 143,100  | 163,126 | 214,745                | 215,479 |
| Other Income Received                       | 58,192   | 5,425   | 7,246                  | 9,548   |
| Total Collected Operating Revenue           | 651,730  | 243,396 | 320,541                | 424,176 |
| Net Benefits and Loss Related Payments      | 195,086  | 191,792 | 256,866                | 221,922 |
| Commissions and Other Expenses Paid         | 66,290   | 50,299  | 65,350                 | 56,029  |
| Dividends to Policyholders                  | 87       | 94      | 127                    | 134     |
| Income Taxes Paid (Recovered)               | 14,427   | 7,271   | 13,418                 | 8,393   |
| Total Paid Expenses and Transfers           | 275,890  | 249,455 | 335,760                | 286,478 |
| Net Operating Cash Flow                     | 375,840  | -6,059  | -15,219                | 137,698 |

Source: BestLink® - Best's Financial Suite

## Related Methodology and Criteria

[AM Best's Stress Liquidity Ratio for US Life Insurers, 05/09/2024](#)

[Best's Credit Rating Methodology, 08/29/2024](#)

[Available Capital and Insurance Holding Company Analysis, 09/18/2025](#)

[Rating Run-Off Insurers and Specialists, 09/05/2024](#)

[Scoring and Assessing Innovation, 02/20/2025](#)

[Understanding BCAR for US and Canadian Life/Health Insurers, 10/09/2025](#)

A Best's Financial Strength Rating opinion addresses the relative ability of an insurer to meet its ongoing insurance obligations. The ratings are not assigned to specific insurance policies or contracts and do not address any other risk, including, but not limited to, an insurer's claims-payment policies or procedures; the ability of the insurer to dispute or deny claims payment on grounds of misrepresentation or fraud; or any specific liability contractually borne by the policy or contract holder. A Financial Strength Rating is not a recommendation to purchase, hold or terminate any insurance policy, contract or any other financial obligation issued by an insurer, nor does it address the suitability of any particular policy or contract for a specific purpose or purchaser.

A Best's Issue/Issuer Credit Rating is an opinion regarding the relative future credit risk of an entity, a credit commitment or a debt or debt-like security.

Credit risk is the risk that an entity may not meet its contractual, financial obligations as they come due. These credit ratings do not address any other risk, including but not limited to liquidity risk, market value risk or price volatility of rated securities. The rating is not a recommendation to buy, sell or hold any securities, insurance policies, contracts or any other financial obligations, nor does it address the suitability of any particular financial obligation for a specific purpose or purchaser.

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# BEST'S CREDIT REPORT

AMB #: 007360 - Continental General Insurance Company

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